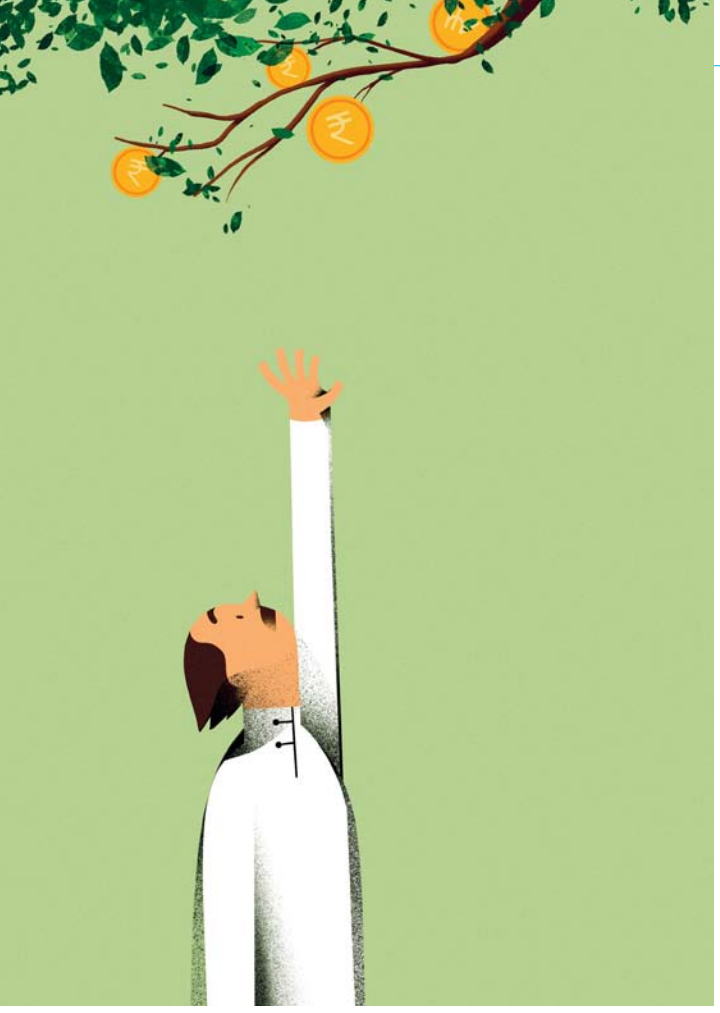


about your beliefs and those bestowed by experts to make an informed decision. With experience, you will be able to overcome biases and beliefs and protect investment decisions from them.

MENTAL ACCOUNTING

Being good in mathematics is a virtue every investor aspires for. However, not all of them get it right and, worse, don't realise it till it hits their investments hard. Earning 6 per cent return from Rs 10,000 in fixed deposit adds up to Rs 600. This is a half-truth because when adjusted to an inflation rate of 6 per cent, the deposit value stays the same.

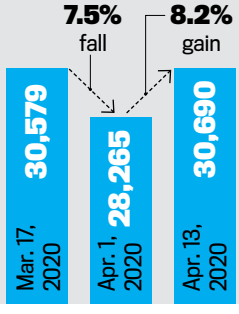
Mental accounting shows up often in investor portfolios, too, as people get emotionally tied to certain investments. For instance, investors seldom value ESOPs (employee stock options) in the same way as an investment made by them in the same company. Often, the ESOP is considered a gift or free investment. This type of mental math ignores the years of toil that earned the investor the ESOP.

Take the case of an investor who invested in the S&P BSE Sensex on March 17, 2020, when the index was 30,579, and exited on April 1 when the index dropped 7.5 per cent to 28,265. Suppose he had made note of the loss, but not actually exited the investment and waited till April 13, when the index reached 30,690; about the same level as his investment on March 17. The outcome is not a 7.5 per cent gain from the notional loss, it is an 8.2 per cent gain. Mental maths would have led to a mistake.

Solution: Risk and returns are two sides of a coin (the coin being your investment). Don't assume the math, especially when the considerations are return on investment factors and an investment time frame, and not a point-to-point return. More importantly, make note of your investments by documenting them with details than having it all fuzzy in your head.

DON'T BE FICKLE

When the investor stays the course, he gains...



HERD MENTALITY

It's human to follow others. With investing, the FOMO (fear of missing out) factor often strikes big, especially in a rising market or when certain trends play out in the markets. An oft-repeated example is that of the dotcom boom of the late 1990s, when investors continued investing in internet companies, despite the fact that many of these start-ups were not financially sound or had an unsustainable business model.

When it comes to investing, chasing the top performer is a type of herd mentality or chasing the flavour of the season. In 2021, the markets witnessed over 100 IPOs, including some by marquee names such as Zomato, Paytm, Nykaa and Policybazaar. There was a frenzy to invest in IPOs with the belief that all of them would gain on listing date; that, however, was not the case. While many IPOs did fare well, several languished after being listed.

Just because everyone is doing something doesn't make it right for you to follow. For instance, singling out top-performing mutual fund data is a statistical exercise that holds good on a certain date based on the data used for a certain period. At best, such information could be used for forming an investment opinion, but it should not result in blind investment based on just one fact that draws up many investors. Remember, in the world of investment, panic buying or selling is often caused by the herd mentality, which misses out on the details.

Solution: 'Trend is your friend' holds well as long as it is based on details. At the same time, do not be blinded with a contrarian view just to stand out. Dig deep into facts when investing to build and have conviction when arriving at your investment decision.

DOING IT ON YOUR OWN

Multi-tasking is a boon as well as a curse. The ability to perform more than one task at a time is multi-tasking, but that doesn't necessarily mean the outcomes are perfect for all of us. A sense of control on our actions lead-